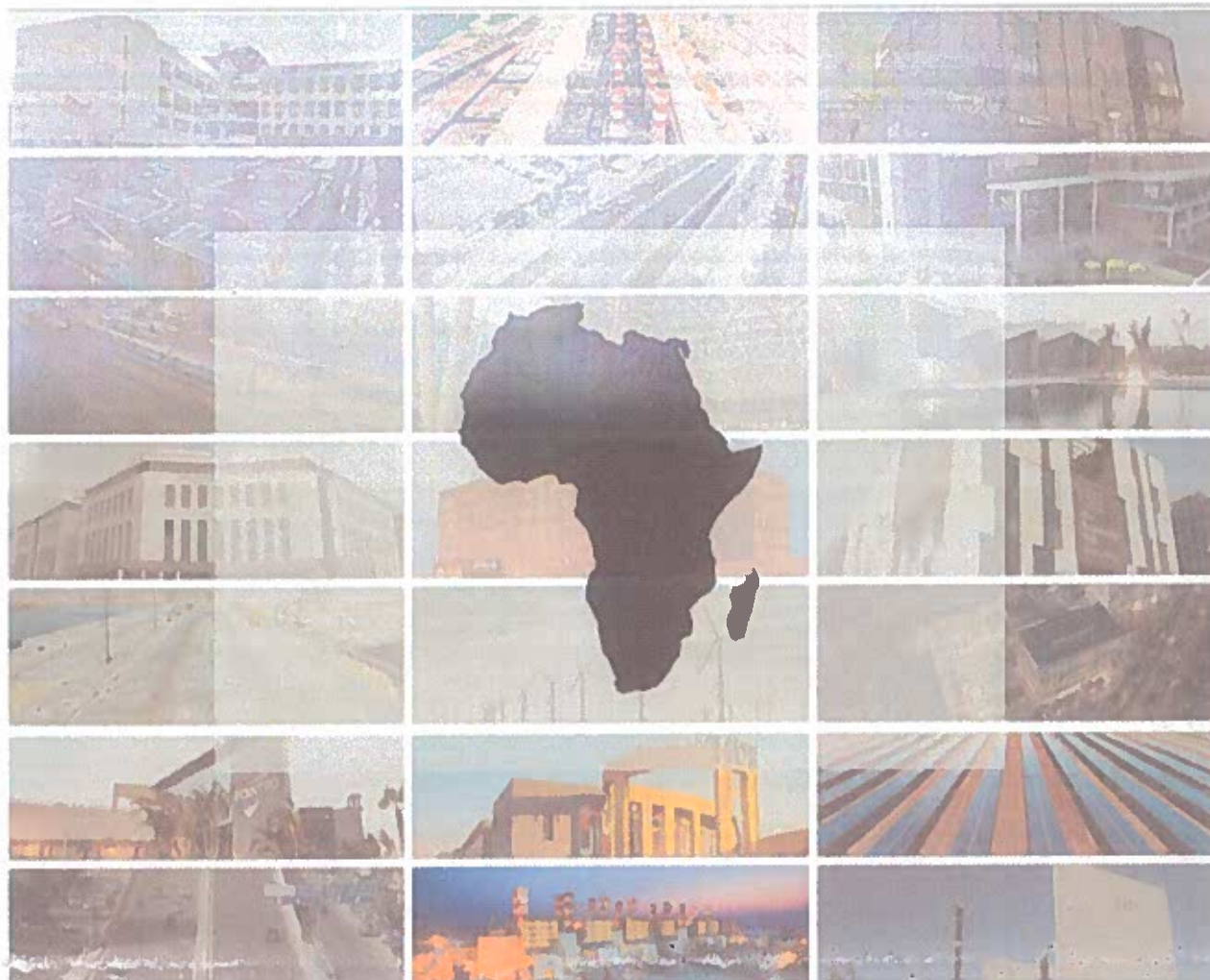




ROWAD
MODERN ENGINEERING

Equipment Management Process P-EQ-01

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VP

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1.OBJECTIVES

The objective of this process is to achieve the maximum revenue of the owned/rented equipment. Also, to monitor the equipment's productivity by regular maintenance/feasibility studies/equipment evaluation.

2. STAKEHOLDER

- Equipment
- Operation
- Finance
- Projects Control
- VP
- HSE

3. LIABLE STAKEHOLDER

- Equipment
- Operation
- Finance
- Projects Control
- Site TO
- PM
- CM
- VP
- HSE Supervisor
- Storekeeper Officer

4. TERMS AND DEFINITION

- **EDM:** Equipment Department Manager
- **EOM:** Equipment Operation Manager
- **ETO:** Equipment Technical Office
- **ETOE:** Equipment Technical Office Engineer
- **ETOM:** Equipment Technical Office Manager
- **EA:** Equipment Accountant
- **ERA:** Equipment Rental Admin
- **EDC:** Equipment Document Controller
- **TO:** Technical Office
- **CS:** Comparison Sheet
- **PR:** Purchase Request
- **PO:** Purchase Order
- **RFQ:** Request for Quotation
- **LOI:** Letter of Intent
- **PM:** Project Manager
- **CM:** Construction Manager
- **VP:** Vice President
- **COO:** Chief Operation Officer
- **CEO:** Chief Executive Officer
- **CFO:** Chief Finance Officer
- **MIV:** Material Issue Voucher

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- **HSE:** Health, Safety & Environment
- **Major Repair:** Major repairs involve large expenditures that extend the useful life of an asset.

5. RELATED DOCUMENTED INFORMATION

- Project Equipment Requirements Schedule, F-P-EQ-01-01
- Rent/Buy Analysis, F-P-EQ-01-02
- Equipment Site Visit, F-P-EQ-01-03
- Letter of Intent, F-P-EQ-01-04
- Third Party Calibration Inspection Log Sheet, F-P-EQ-01-05
- Emergency Claim, F-P-EQ-01-06
- Equipment Utilization Sheet, F-P-EQ-01-07
- Stand by Summary, F-P-EQ-01-08
- Internal Invoice, F-P-EQ-01-09
- Total Internal Invoices, F-P-EQ-01-10
- Performance Analysis, F-P-EQ-01-11
- Feasibility study, F-P-EQ-01-12
- Rental Equipment Subcontract, F-P-EQ-01-13
- Under Repair Analysis, F-P-EQ-01-14
- Owned Equipment List, F-P-EQ-01-15
- Equipment Preventive Maintenance Sheet, F-P-EQ-01-16
- Rental invoice, F-P-EQ-01-18
- Equipment Subcontracts Signature Matrix, F-P-EQ-01-19
- Equipment CS Signature Matrix, F-P-EQ-01-20
- Rotation Equipment Requirement Plan, F-P-EQ-01-21
- Equipment Request, F-P-EQ-01-22
- Market Price Sheet, F-P-EQ-01-23
- Site Fuel Request, F-P-EQ-01-24
- Equipment Comparison Sheet (CS), F-P-EQ-01-25
- Technical & Safety Inspection, F-P-EQ-01-26
- Request for Information, F-PQP-01-03
- Request for Quotation, F-P-VMO-01-01
- Return/Transfer Material Request, F-P-FN-01-01
- Site Material Request, F-P-FN-01-15
- Rented Equipment Time Sheet Form, F-P-OP-05-03
- Owned Equipment Time Sheet Form, F-P-OP-05-04
- PR (ERP)
- PO (ERP)
- Pre-Delivery Inspection

6. PROCESS DETAILS

6.1 PROCESS INPUT

- Equipment Time Sheets

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- Project Contract Request
- RFQs

6.2 Process Operations

Sr.	Process Cycle Description	Responsibility	Form
Equipment Strategy			
1	PM shall send the Project Equipment Requirement Schedule (Either new project or new phase), then ETOM shall check the availability with EOM to transfer the equipment by RME fleet department or study the Rent/Buy Analysis according to the budget using Rotation Equipment Requirement Plan. Project Equipment Requirement Schedule shall be discussed & updated quarterly by PM & EOM. Rotation Equipment Requirement Plan to be initiated by EOM, then updated quarterly based on the updated Project Equipment Requirement Schedule.	PM ETOM EOM EDM	Project Equipment Requirement Schedule F-P-EQ-01-01 Rotation Equipment Requirement Plan F-P-EQ-01-21
2	EDM shall decide on rent or buy the equipment after the discussion with VP based on the below: • Selective Procurement (minimum 3 suppliers) • Single Source Procurement (In emergency situations) • Used/pre-owned equipment, a single source procurement is followed. Then, analysis to be approved by EDM and VP.	EDM VP	Rent/Buy Analysis F-P-EQ-01-02
3	Technical and Safety inspection by HSE Supervisor shall be carried out on owned / rented equipment prior transfer to site. If there is any concern, HSE and/or equipment supervisor shall inform EOM & EDM on the same day.	Equipment HSE	Technical & Safety Inspection F-P-EQ-01-26
4	EOM shall check the validity of the raised issue within 48 hrs., then technical inspection to be done, if required.	EOM	
Purchasing Process			

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Sr.	Process Cycle Description	Responsibility	Form
5	ETOE shall collect the available data of each equipment (requirements, quantities, and drawings) based on the received Project Equipment Requirement Schedule.	ETOE	
6	ETOE shall prepare and send RFQ including the following information and requests: - Title and location of the project - Equipment requirements & quantities - Due date for submission of quotations - Discount terms required - Taxes and customs included or excluded - Warranty period - Availability - Payment Terms & Conditions	ETOE	Request for Quotation F-P-VMO-01-01
7	ETOE shall prepare & evaluate CS within 1 day after collecting the quotations with all technical & financial offers.	ETO	Equipment Comparison Sheet (CS) F-P-EQ-01-25
8	EDM shall decide if a site visit is needed by equipment supervisor/EOM according to the type of equipment & site visit criteria prior proceeding in the approval of CS by concerned parties.	EDM	Equipment Site Visit F-P-EQ-01-03
9	ETO shall update and evaluate CS after negotiating prices & technical terms with the suppliers and proceed with the approval cycle within two working days. Refer to Equipment CS Signature Matrix (F-P-EQ-01-20)	ETO	Equipment Comparison Sheet (CS) F-P-EQ-01-25 Equipment CS Signature Matrix F-P-EQ-01-20
10	Issue Purchase Request (PR) EDC shall request coding for the new items on Oracle. EDC shall raise PR within 24 hours after coding all	EDC	PR (ERP)

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Sr.	Process Cycle Description	Responsibility	Form																
	items. PR to be approved by the warehouse within 24 hours after EDM's approval.	Warehouse EDM																	
11	Issue Purchase Order (PO) After the approval of PR, PO is created by EDC & approved within 2 days. (In the case of offer validity less than the approval cycle, a letter of intent (LOI) shall be issued & approved by EDM & VP). <u>Cycle of PO approval (within 2 days):</u> - Projects Control Approval - Finance Approval - EDM Approval	EDC EDM VP Projects Control Finance	LOI F-P-EQ-01-04																
12	EA shall submit a request for Payment to Finance & follow-up the cheque approval or bank transfer as follows: - ETOM - EDM - CFO - VP	EA	Request for Payment F-P-PU-01-03																
13	EOM follows up on the following: • Track the supply of equipment/spare parts • Expedite shipment, if necessary • Handle delivery & coordinate transportation • Inspect equipment • Receive warranty documents & catalogs • Plan & maintain proper storage of the goods prior to use on-site EOM shall inspect new equipment/spare parts and update ERP accordingly.	EOM	Pre-Delivery Inspection (Provided by Supplier) Equipment Site Visit F-P-EQ-01-03																
14	After receiving the equipment/spare parts data, Equipment Admin shall prepare Tag No. as follows: <table><tr><td colspan="2">Family</td><td colspan="3">Equipment No.</td><td colspan="3">Last 3 numbers of Chassis S.N</td></tr><tr><td>A</td><td>A</td><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td></tr></table>	Family		Equipment No.			Last 3 numbers of Chassis S.N			A	A	0	0	0	0	0	0	Equipment Admin	Owned Equipment List F-P-EQ-01-15
Family		Equipment No.			Last 3 numbers of Chassis S.N														
A	A	0	0	0	0	0	0												

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Sr.	Process Cycle Description	Responsibility	Form
	Owned Equipment list will include the following: - Tag Number - Equipment Plate - Model – Type – Chassis Serial Number - Engine Serial Number – Model - Original part number for the filters		
15	After coding the new equipment, ETOE shall send the tag No., equipment description, PO and electronic invoice "bill" to Finance dept to prepare the insurance documents (Renewed Annually) on the equipment & link tag no. with the asset no.	ETO Finance	PO/Electronic Invoice
Owned Equipment Calibration			
16	For supplier's selection and evaluation, refer to: Evaluation of External Providers (P-PR-02) Vendor selection and Bidding Process (F-P-VMO-01)		
17	After approval of CS, ETO shall prepare a service PO via Oracle.	ETO	
18	Equipment Admin shall prepare calibration log to follow up the expiry date of the certificates and coordinate for the next calibration. EOM shall ensure the equipment is ready for calibration.	Equipment Admin EOM	Equipment Third Party Log F-P-EQ-01-05
Emergency Failure			
19	In case of failure emergencies for the owned equipment, as per the Project Team's request, Equipment maintenance representative shall check the case on-site, and issue an Emergency Claim within 48 hrs.	Equipment Purchasing Officer Equipment Admin	Emergency Claim F-P-EQ-01-06 PR (ERP) PO (ERP)

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Sr.	Process Cycle Description	Responsibility	Form
	Purchasing Officer purchases the needed spare parts and delivers it to the project using petty cash with a limit of 100,000 EGP per day. Purchasing Officer shall issue PR & PO and follow up with Equipment Admin, then Cash fund settlement is raised to Finance on a weekly basis for approval. For new Petty cash, Payment request to be issued to VP for approval		Cash Fund Settlement F-P-HR-04-03 Payment Request F-P-PU-01-03
Internal Invoice Process			
20	Equipment Operator or Supervisor in the project shall prepare owned Equipment Time Sheet including the total working hours in the shift, standby hours, under repair hours with reasons of failure and fuel consumption. Timesheet is signed by PM and CM at the end of the month & daily by the operator.	Equipment Supervisor PM CM	Owned Equipment Time Sheet F-P-OP-05-04
21	Equipment Supervisor/Operator shall issue Site Fuel request for rented and/or owned equipment, approved by CM, then send it to TO. In case quantity is available, it will be released via MIV (Move Order) by TO, signed by the Storekeeper Officer and receiver.	ES/Operator CM TO Storekeeper Officer	Site Fuel Request F-P-EQ-01-24 MIV (ERP)
22	Equipment dept tracks fuel consumption for rented/owned equipment via Oracle.	Equipment	ERP
23	Utilization Sheet shall be prepared by ETO and sent to CM, PM & EOM for review and approval and to COO on monthly basis, accordingly a decision will be taken whether to release/transfer the equipment or not to another project.	ETO CM PM EOM	Equipment Utilization Sheet F-P-EQ-01-07
24	Equipment admin shall prepare the Internal Invoice to by calculating working days, under repair days, and	ETO	Stand by Summary F-P-EQ-01-08

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Sr.	Process Cycle Description	Responsibility	Form
	standby days based on the owned equipment time sheet as follows: - Rowad Equipment Rate: 90% of market price - Stand by more than 10 days: 120% Rowad Equipment Rate. Internal invoice to be approved by EDM and ETOM, then sent to the concerned project Market Price Sheet shall be updated every 6-months unless changes in the market price or force majeure occurs, approved by Projects Control, EDM, COO, VP & CEO. ETO shall prepare the following: • Analysis report on quarterly basis (Under repair working days have no charge on the project internal invoice) • Stand by Summary on monthly basis to be reviewed by EOM.	Projects Control EDM COO VP CEO	Internal Invoice F-P-EQ-01-09 Under Repair Analysis F-P-EQ-01-14 Market Price Sheet F-P-EQ-01-23
25	Total Internal Invoices – Summary Sheet is created by ETO for all projects on monthly basis and approved by ETOM and EDM then sent to CEO, COO, CFO, VP, Projects Control Manager and Operations Manager for information.	ETO ETOM EDM	Total Internal Invoices/Summary Sheet F-P-EQ-01-10
26	ETO prepares the annual and semi-annual Equipment performance analysis with running cost report to be submitted to VP.	ETO	Performance Analysis F-P-EQ-01-11
Preventive Maintenance			
27	ETO shall prepare and follow up the Preventive Maintenance Sheet for all equipment and update it on a monthly basis. The cycle of equipment preventive maintenance with the central workshop is as follows: <u>In case spare parts are available in the inventory:</u>	ETO EO Maintenance Supervisor	Equipment Preventive Maintenance Sheet F-P-EQ-01-16 Site Material Request F-P-FN-01-15

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Sr.	Process Cycle Description	Responsibility	Form
	Maintenance Supervisor shall request the new spare parts via Site Material Request form and return the used parts to the store via Return/Transfer Material Request. <u>In case spare parts are not available in stock (at minimum level):</u> PR & PO to be raised for lumpsum amount based on the approved comparison sheet.	EDC	Return/Transfer Material Request F-P-FN-01-01 PR (ERP) PO(ERP) Equipment Comparison Sheet (CS) F-P-EQ-01-25
Major Repair			
28	EOM shall prepare a feasibility study for refurbishment equipment, initial approval by EDM. Final approval by VP before submitting to Finance. Finance shall raise the asset value and update the depreciation time & value.	EOM EDM VP Finance	Feasibility study F-P-EQ-01-12
29	After approval, CS to be prepared by EOM for major repair.	EOM	Equipment Comparison Sheet (CS) F-P-EQ-01-25
Renting Process			
30	Site TO shall send an Equipment Request based on the project equipment requirement Schedule, approved by PM to Equipment dept.	Site TO	Equipment Request F-P-EQ-01-22
31	ERA shall prepare CS with minimum 3 Subcontractors within 7 days from receiving the approved Equipment Request, then select the recommended price. Refer to Equipment comparison sheet approval matrix	ERA	Comparison Sheet F-P-VMO-01-02

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Sr.	Process Cycle Description	Responsibility	Form
32	Rental Equipment subcontract shall be uploaded on oracle by ERA after the hard copy approval. Refer to Subcontract approval matrix After the approval of the rental Subcontract, two hard copies shall be distributed to Finance dept and the subcontractor.	ERA	Rental Equipment Subcontract F-P-EQ-01-13 Equipment Subcontracts Signature Matrix F-P-EQ-01-19
33	Rented Equipment is monitored by Equipment Supervisor (Authorized person by equipment dept & Project Manager). Equipment supervisor shall prepare Rental Equipment Time Sheet on daily basis approved by CM & PM then sent to Site TOM.	Equipment Supervisor CM/PM	Rental Equipment Time Sheet F-P-OP-05-03
34	Every 15 days, site TO shall prepare the invoice based on Rental Equipment Time Sheets and deductions, approved by site TO, CM and PM. Site TO sends the approved Invoice and Time Sheets to technical affairs manager for approval, then send to Finance dept.	Site TO CM PM Technical Affairs Manager	Rental Equipment Invoice F-P-EQ-01-18

Short-Term Rentals

35	In case of emergency, Equipment Request to rent an equipment for less than one month to be sent via e-mail from the project to Equipment dept including the rental duration & cost.	PM ETOM EDM	Equipment Request F-P-EQ-01-22
36	Upon approval by ETO, Site TO shall send the related bill and timesheet to ETOM for review and approval (Contract issuance is not necessary). Invoice to be approved by PM, ETOM & EDM. ERA sends the invoice to Finance to proceed.	ETO Site TO PM EDM	

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Sr.	Process Cycle Description	Responsibility	Form
37	For overseas projects, monthly reports to be prepared by site equipment representative demonstrating equipment status to Head office equipment for review.	Site Equipment Representative	Report

6.3 PROCESS OUTPUT

- Comparison Sheet
- Internal Invoice
- Annual and semi-annually Equipment performance analysis with running cost report.
- Quarterly Under Repair Analysis
- Contracts

7. PROCESS RISK ASSESMENT

Included in the risk register form No. F-P-QD-05-01 “Risk identification and assessment” maintained by the HOD, along with the action plan to address risks and opportunities”.

8. PROCESS CONTROL

- GPS Equipment Tracking System
- Preventive Maintenance Plan

9. PERFORMANCE MEASURES

- Annual & Semi-annual Equipment Performance Report

10. DOCUMENT CHANGE HISTORY

No.	Revision Level	Description of Changes	Effective Date
01	00	New Issue	16/02/2022
02	01	Points Updated: 1-4, 8-9, 11, 13, 15, 17-19, 24, 27 & 37.	11/2024